

Impact of Health Expenditure on Life Expectancy in the world (2000 – 2023)

Summary Report

Higher health spending generally links to longer lives, but above a certain level, additional spending buys very little extra time.

This analysis looked at whether life expectancy at birth was correlated with two measures of health spending across countries worldwide from 2000 to 2023, using World Bank data: current health expenditure per capita adjusted for purchasing power (PPP), and domestic government health expenditure as a percentage of GDP.

The data shows a correlation of 0.70 between per-capita spending and life expectancy. This is a meaningful relationship - countries that spend more on health do tend to live longer. However, the relationship is not uniform across all spending levels. Among lower-income countries, additional investment produces significant gains in life expectancy. Among the world's highest spenders, the returns diminish sharply. The United States is the clearest example. It spends more per person than any other country yet falls below the life expectancy trend, performing worse than peers such as Japan and Spain who spend considerably less.

This suggests that beyond a spending threshold, factors outside the health budget become stronger drivers of how long people live. Spending more is necessary but not sufficient.

For countries already at high spending levels, the priority question shifts from how much to spend to how well that spending is directed.